

Diploma in International Financial Reporting

Tuesday 9 June 2015

**Time allowed**

Reading and planning: 15 minutes

Writing: 3 hours

ALL FOUR questions are compulsory and MUST be attempted.

Do NOT open this paper until instructed by the supervisor.

During reading and planning time only the question paper may be annotated. You must NOT write in your answer booklet until instructed by the supervisor.

This question paper must not be removed from the examination hall.

The Association of Chartered Certified Accountants

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ALL FOUR questions are compulsory and MUST be attempted

- 1 Alpha holds investments in two other entities, Beta and Gamma. The draft statements of financial position of the three entities at 31 March 2015 were as follows:

	Alpha \$'000	Beta \$'000	Gamma \$'000
Assets			
Non-current assets:			
Property, plant and equipment (Notes 1 and 6)	300,000	240,000	180,000
Investments (Notes 1, 2 and 3)	267,000	40,000	10,000
	<u>567,000</u>	<u>280,000</u>	<u>190,000</u>
Current assets:			
Inventories (Note 4)	90,000	60,000	45,000
Trade receivables (Note 5)	72,000	46,000	40,000
Cash and cash equivalents	15,000	10,000	8,000
	<u>177,000</u>	<u>116,000</u>	<u>93,000</u>
Total assets	<u>744,000</u>	<u>396,000</u>	<u>283,000</u>
Equity and liabilities			
Equity			
Share capital (\$1 shares)	200,000	150,000	120,000
Retained earnings (Notes 1 and 2)	367,500	115,000	51,000
Other components of equity (Notes 1, 2 and 3)	5,000	4,000	2,000
Total equity	<u>572,500</u>	<u>269,000</u>	<u>173,000</u>
Non-current liabilities:			
Provision (Note 6)	12,500	Nil	Nil
Long-term borrowings (Note 7)	60,000	45,000	50,000
Deferred tax	32,000	30,000	20,000
Total non-current liabilities	<u>104,500</u>	<u>75,000</u>	<u>70,000</u>
Current liabilities:			
Trade and other payables (Note 5)	45,000	42,000	33,000
Short term borrowings	22,000	10,000	7,000
Total current liabilities	<u>67,000</u>	<u>52,000</u>	<u>40,000</u>
Total equity and liabilities	<u>744,000</u>	<u>396,000</u>	<u>283,000</u>

Note 1 – Alpha's investment in Beta

On 1 April 2010, Alpha acquired 120 million shares in Beta by means of a cash payment of \$234.5 million. Alpha also incurred directly attributable costs of \$2.5 million associated with the acquisition of Beta and recognised the investment in its individual statement of financial position at \$237 million. There has been no change to the carrying value of this investment in Alpha's own statement of financial position since 1 April 2010.

It is the group policy to value the non-controlling interest in subsidiaries at the date of acquisition at fair value. The market value of an equity share in Beta at 1 April 2010 can be used for this purpose. On 1 April 2010, the market value of a Beta share was \$1.80.

On 1 April 2010, the individual financial statements of Beta showed the following reserves balances:

- Retained earnings \$75 million.
- Other components of equity \$1 million.

The directors of Alpha carried out a fair value exercise to measure the identifiable assets and liabilities of Beta at 1 April 2010. The following matters emerged:

- Property having a carrying value of \$150 million at 1 April 2010 (depreciable component \$80 million) had an estimated market value of \$180 million at that date (depreciable component \$90 million). The estimated future economic life of the depreciable component at 1 April 2010 was 20 years. This property is included in Beta's statement of financial position at 31 March 2015.
- Plant and equipment having a carrying value of \$110 million at 1 April 2010 had an estimated market value of \$123 million at that date. Beta has disposed of all of this plant and equipment since 1 April 2010.

The fair value adjustments have not been reflected in the individual financial statements of Beta. In the consolidated financial statements, the fair value adjustments will be regarded as temporary differences for the purposes of computing deferred tax. The rate of deferred tax to apply to temporary differences is 20%. No impairment of the goodwill on acquisition of Beta has occurred since 1 April 2010.

Note 2 – Alpha's investment in Gamma

On 1 July 2014, Alpha acquired 90 million shares in Gamma by means of a share exchange. Alpha issued two shares for every three shares acquired in Gamma. On 1 July 2014, the market value of an Alpha share was \$2.90 and the market value of a Gamma share was \$1.50. The share exchange has not been recorded in the draft financial statements of Alpha presented above. Alpha also incurred directly attributable costs of \$1.5 million associated with this acquisition and debited these costs to administrative expenses in its draft statement of profit or loss for the year ended 31 March 2015.

On 1 April 2014, the individual financial statements of Gamma showed the following reserves balances:

- Retained earnings \$45 million. The profits of Gamma for the year ended 31 March 2015 accrued evenly over the year.
- Other components of equity \$2 million. See also the information provided in note 3 regarding other components of equity.

Gamma leases all of its properties on operating leases and its plant and equipment comprises assets with relatively short useful economic lives. Therefore on 1 July 2014, there were no material differences between the carrying values of the net assets of Gamma in the individual financial statements and the fair values of those net assets.

No impairment of the goodwill on acquisition of Gamma has occurred since 1 July 2014.

Note 3 – Other investments

Apart from its investment in Beta, the investments of Alpha included in the statement of financial position at 31 March 2015 are all financial assets which Alpha has elected to measure at fair value through other comprehensive income. All of the investments held by Beta and Gamma are also financial assets which Beta and Gamma have elected to measure at fair value through other comprehensive income. None of these investments have been bought or sold in the year ended 31 March 2015. The fair values which are included in the draft statements of financial position above are the fair values at 31 March 2014 for Beta and 1 July 2014 for Gamma. Relevant fair values as at 31 March 2015 were as follows:

- Alpha – \$33 million.
- Beta – \$43 million.
- Gamma – \$11.6 million. The change in the fair value of Gamma's investments during the year ended 31 March 2015 was caused by events occurring AFTER 1 July 2014.

You do NOT need to consider the deferred tax implications of any gains arising on the remeasurement of these investments.

Note 4 – Inter-company sale of inventories

The inventories of Beta and Gamma at 31 March 2015 included components purchased from Alpha in the last three months of the financial year at a cost of \$15 million to Beta and \$10 million to Gamma. Alpha normally earns a profit margin of 30% on the sale of these components but supplies of these components to group companies are routinely made at a reduced margin of 20%.

In the consolidated financial statements, any adjustments required as a result of this note will be regarded as temporary differences for the purposes of computing deferred tax. The rate of deferred tax to apply to temporary differences is 20%. You can assume that sufficient taxable profits exist in each entity to allow the deferred tax implications of deductible temporary differences.

Note 5 – Trade receivables and payables

The trade receivables of Alpha included \$9 million receivable from Beta and \$6 million receivable from Gamma in respect of the purchase of components (see Note 4). On 30 March 2015, Beta and Gamma paid \$9 million and \$6 million respectively to Alpha and so eliminated their trade payables balance in respect of the purchase of components. Alpha recorded these receipts on 3 April 2015.

Note 6 – Provision

On 1 March 2015, the board of directors of Alpha finalised a plan to re-organise and reconstruct the group. The plan was publicly announced on 15 March 2015. The plan involved closing down one of Alpha's operating units – unit X (not a separate legal entity). The business of unit X will not be discontinued – the other operating units of Alpha will be able to supply the unit's existing customers. However, all of the property, plant and equipment being used in unit X will be disposed of. Some of the employees working in unit X will be made redundant, and others will be transferred to other operating units of Alpha.

The provision made by Alpha in its draft financial statements comprised the best estimate of the following:

	\$ million
Redundancy costs	8
Costs of relocating employees to new locations	2·5
Costs of retraining existing employees for work at new locations	2·0
	12·5

On 15 March 2015, the property, plant and equipment of unit X, which is included in the above statement of financial position, had a total carrying value of \$15 million. \$12 million of this amount relates to property, and \$3 million to plant and equipment. On 15 March 2015, all of the property, plant and equipment was offered for sale. The property was offered for sale at a price of \$16·5 million, and the plant and equipment at \$1·05 million. Both of these amounts are considered to be reasonable prices which are achievable within six months of the year end. The estimated costs of disposal of the property are \$500,000 and the costs of disposal of the plant \$50,000. However, none of the property, plant and equipment of unit X which was being offered for sale had actually been sold by 31 March 2015. You can assume that any change in carrying value of this property, plant and equipment between 15 and 31 March 2015 is immaterial.

Note 7 – Long-term borrowings

On 31 March 2015, Alpha issued 30 million \$1 convertible loan notes. The loan notes carry a coupon rate of 6% per annum payable annually in arrears and are redeemable at par on 31 March 2020. As an alternative to redemption, the loan note holders can elect to exchange their loan notes for equity shares in Alpha on 31 March 2020. If the option to exchange were not available, the investors in the loan notes would have required a return on their investment of 10% per annum.

Discount factors which may be relevant are as follows:

	Discount rate	
	6%	10%
	\$	\$
Present value of \$1 receivable in 5 years	0·747	0·621
Cumulative present value of \$1 receivable at the end of years 1–5	4·212	3·790

On 31 March 2015, Alpha debited cash and credited long-term borrowings with \$30 million in respect of this loan.

Required:

Prepare the consolidated statement of financial position of Alpha at 31 March 2015.

(40 marks)

2 Delta is an entity which prepares financial statements to 31 March each year. The financial statements for the year ended 31 March 2015 are to be authorised for issue on 30 June 2015. The following events are relevant to these financial statements:

- (a) On 1 April 2014, Delta purchased 1 million options to acquire shares in Epsilon, a listed entity. Delta paid 25c per option, which allows Delta to purchase shares in Epsilon for a price of \$2 per share. The exercise date for the options was 31 December 2014. On 31 December 2014, when the market value of a share in Epsilon was \$2.60, Delta exercised all its options to acquire shares in Epsilon. In addition to the purchase price, Delta incurred directly attributable acquisition costs of \$100,000 on the purchase of the 1 million shares in Epsilon. Delta regarded the shares it purchased in Epsilon as part of its trading portfolio. However, Delta did not dispose of any of the shares in Epsilon between 31 December 2014 and 31 March 2015. On 31 March 2015, the market value of a share in Epsilon was \$2.90. (9 marks)
- (b) On 1 April 2014, Delta sold a property for \$48 million to raise cash to expand its business. The carrying value of the property on 1 April 2014 was \$50 million and its fair value was \$55 million. The estimated future useful life of the property on 1 April 2014 was 40 years. On 1 April 2014, Delta began to lease this property on a 10 year lease. The annual lease rentals for the first five years of the lease were set at \$1 million. For the final five years of the lease, the rentals were set at \$1.5 million. Both of these rental amounts were below the market rental for a property of this nature. (7 marks)
- (c) On 31 March 2015, the inventories of Delta included a consignment of components which Delta had been supplying to a number of different customers for some years. The cost of the consignment was \$10 million and based on retail prices at 31 March 2015, the expected selling price of the consignment would have been \$12 million. On 15 May 2015, a competitor completed the development of an alternative component which seems likely to make Delta's consignment obsolete. The directors of Delta estimate that the consignment (all still currently unsold) will now be sold for only \$2 million. (4 marks)

Required:

Explain and show how the three events should be reported in the financial statements of Delta for the year ended 31 March 2015.

Note: The mark allocation is shown against each of the three events above.

(20 marks)

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Question 3 begins on page 8.**

- 3 (a) IFRS 2 – *Share-based Payment* – defines a share-based payment transaction as one in which an entity receives goods or services from a third party (including an employee) in a share-based payment arrangement. A share-based payment arrangement is an agreement between an entity and a third party which entitles the third party to receive either:

- Equity instruments of the entity (equity-settled share-based payments); or
- Cash or other assets based on the price of equity instruments of the entity (cash-settled share-based payments).

Share-based payment arrangements are often subject to vesting conditions which must be satisfied over a vesting period.

Required:

For both cash-settled AND equity-settled share-based payment arrangements, explain:

- (i) **The basis on which the arrangements should be measured;**
- (ii) **The criteria which are used to allocate the total value of the arrangement to individual accounting periods;**
- (iii) **The accounting entries (debit and credit) required during the vesting period.** (6 marks)

- (b) Kappa prepares financial statements to 31 March each year. The following share-based payment arrangements were in force during the year ended 31 March 2015:

- (i) On 1 April 2013, Kappa granted options to 500 employees to subscribe for 400 shares each in Kappa on 31 March 2017, providing the employees still worked for Kappa at that time. On 1 April 2013, the fair value of each option was \$1.50.

In the year ended 31 March 2014, ten of these employees left Kappa and at 31 March 2014, Kappa expected that 20 more would leave in the three-year period from 1 April 2014 to 31 March 2017. Kappa's results for the year ended 31 March 2014 were below expectations and at 31 March 2014 the fair value of each option had fallen to 25 cents. Therefore, on 1 April 2014 Kappa amended the exercise price of the original options. This amendment caused the fair value of these options to rise from 25 cents to \$1.45.

During the year ended 31 March 2015, five of the employees left and at 31 March 2015, Kappa expected that ten more would leave in the two-year period from 1 April 2015 to 31 March 2017. The results of Kappa for the year ended 31 March 2015 were much improved and at 31 March 2015, the fair value of a re-priced option was \$1.60. (9 marks)

- (ii) On 1 April 2013, Kappa granted share appreciation rights to 50 senior employees. The number of rights to which each employee becomes entitled depends on the cumulative profit of Kappa for the three years ended 31 March 2016:

- 1,000 rights per employee are awarded if the cumulative profit for the three-year period is below \$500,000.
- 1,500 rights per employee are awarded if the cumulative profit for the three-year period is between \$500,000 and \$1 million.
- 2,000 rights per employee are awarded if the cumulative profit for the three-year period exceeds \$1 million.

On 1 April 2013, Kappa expected that the cumulative profits for the three-year period would be \$800,000. After the disappointing financial results for the year ended 31 March 2014, this estimate was revised at that time to \$450,000. However, given the improvement in results for the year ended 31 March 2015, the estimate was revised again at 31 March 2015 to \$1,100,000.

On 1 April 2013, the fair value of one share appreciation right was \$1.10. This estimate was revised to \$0.90 at 31 March 2014 and to \$1.20 at 31 March 2015. All the senior employees are expected to remain employed by Kappa for the relevant three-year period. The rights are exercisable on 30 June 2016.

(5 marks)

Required:

Show how and where transactions (i) and (ii) would be reported in the financial statements of Kappa for the year ended 31 March 2015.

Note: The mark allocation is shown against both of the two transactions above.

Ignore deferred tax.

(20 marks)

- 4 You are the financial controller of Omega, a listed company which prepares consolidated financial statements in accordance with International Financial Reporting Standards (IFRS). Your managing director, who is not an accountant, has recently attended a seminar and has the following questions for you concerning issues raised at the seminar:
- (a) One of the delegates at the seminar was a director of an entity which operates a number of different farms. She informed me that there was a financial reporting standard which applied to farming entities. I think she said it was IAS 41. I'd like to know why a special standard is needed for farming entities. Given that we have IAS 41, does this mean that other IFRSs do not apply to farming entities? Please explain the main recognition and measurement requirements of IAS 41 – I'm not interested in details about disclosures. I am interested, though, in any areas where the provisions of IAS 41 differ from general IFRSs. I believe I heard that farming entities treat grants from the government in a different way than other entities do. I'm particularly interested to hear about this – assuming I'm correct. (12 marks)
- (b) Another delegate, a director of a relatively small listed entity, stated that his entity did not need to comply with the detailed requirements of IFRS because of the relatively small size of the entity. Is it true that there are different accounting rules which are available for smaller entities? Can his entity take advantage of them? Please give me an outline explanation – I don't need the details of any different rules. (8 marks)

Required:

Provide answers to the questions raised by the managing director.

Note: The mark allocation is shown against each of the two questions above.

(20 marks)

End of Question Paper

Answers

Marks

1 (a) Consolidated statement of financial position of Alpha at 31 March 2015

Assets	\$'000	
Non-current assets:		
Property, plant and equipment (300,000 + 240,000 + 180,000 + 27,500 (W1) – (12,000 + 3,000 {held for sale assets – W5}))	732,500	$\frac{1}{2} + \frac{1}{2} + \frac{1}{2}$
Goodwill (W3)	78,600	$9\frac{1}{2}$ (W3)
Other investments (33,000 + 43,000 + 11,600)	87,600	1
	<u>898,700</u>	
Current assets:		
Inventories (90,000 + 60,000 + 45,000 – 5,000 (W6))	190,000	$\frac{1}{2} + \frac{1}{2}$
Trade receivables (72,000 + 46,000 + 40,000 – (9,000 + 6,000 {intra-group}))	143,000	$\frac{1}{2} + \frac{1}{2}$
Cash and cash equivalents (15,000 + 10,000 + 8,000 + (9,000 + 6,000 {cash in transit}))	48,000	$\frac{1}{2} + \frac{1}{2}$
	<u>381,000</u>	
Non-current assets classified as held for sale (W5)	<u>13,000</u>	$\frac{1}{2}$
Total assets	<u><u>1,292,700</u></u>	
Equity and liabilities		
Equity attributable to equity holders of the parent		
Share capital (200,000 + 60,000 (shares issued to acquire Gamma))	260,000	1
Retained earnings (W6)	388,955	12 (W5)
Other components of equity (W8)	132,548	5 (W8)
	<u>781,503</u>	
Non-controlling interest (W4)	107,245	2 (W4)
Total equity	<u>888,748</u>	
Non-current liabilities:		
Provision	8,000	$\frac{1}{2}$
Long-term borrowings (60,000 + 45,000 + 50,000 + 25,452 (W7) – 30,000)	150,452	$\frac{1}{2} + \frac{1}{2} + \frac{1}{2}$
Deferred tax (W10)	86,500	$1\frac{1}{2}$
Total non-current liabilities	<u>244,952</u>	
Current liabilities:		
Trade and other payables (45,000 + 42,000 + 33,000)	120,000	$\frac{1}{2}$
Short term borrowings (22,000 + 10,000 + 7,000)	39,000	$\frac{1}{2}$
Total current liabilities	<u>159,000</u>	40
Total equity and liabilities	<u><u>1,292,700</u></u>	

WORKINGS – DO NOT DOUBLE COUNT MARKS. ALL NUMBERS IN \$'000 UNLESS OTHERWISE STATED

Working 1 – Net assets table – Beta:

	1 April 2010 \$'000	31 March 2015 \$'000	For W3	For W6
Share capital	150,000	150,000	½	
Retained earnings:				
Per accounts of Beta	75,000	115,000	½	½
Property adjustment	30,000	30,000	½	
Extra depreciation		(2,500)		½
(90,000 – 80,000) X 5/20				½
Plant and equipment adjustment	13,000	–	½	½
Other components of equity	1,000	7,000 *	½	½
Deferred tax on fair value adjustments	(8,600)	(5,500)	1 (W9)	1 (W9)
Net assets for the consolidation	<u>260,400</u>	<u>294,000</u>		

The post-acquisition increase in net assets is 33,600 (294,000 – 260,400). 6,000 of this increase relates to other components of equity and the balance (27,600) relates to retained earnings.

	½
	<u>3½</u>
⇒W3	⇒W6

* The other components of equity balance of Beta at 31 March 2015 is 4,000 + [43,000 – 40,000] (the **current** year revaluation of Beta's investments).

Working 2 – Net assets table – Gamma:

	1 July 2014 \$'000	31 March 2015 \$'000	For W3	For W6
Share capital	120,000	120,000	½	
Retained earnings:	46,500 * ¹	51,000	1	½
Other components of equity	2,000	3,600 * ²	½	1
Net assets for the consolidation	<u>168,500</u>	<u>174,600</u>		

The post-acquisition increase in net assets is 6,100 (174,600 – 168,500). 1,600 of this increase relates to other components of equity and the balance (4,500) relates to retained earnings.

	½
	<u>2</u>
⇒W3	⇒W6

*¹ The retained earnings of Gamma at 1 July 2014 were 45,000 + 3/12 (51,000 – 45,000).

*² The other components of equity balance of Gamma at 31 March 2015 is 2,000 + [11,600 – 10,000] (the **current** year revaluation of Gamma's investments).

Working 3 – Goodwill on consolidation

	Beta \$'000	Gamma \$'000	
Costs of investment:			
Cash paid to acquire Beta (not including acquisition costs)	234,500		1
Shares issued to acquire Gamma 60,000 X \$2.90		174,000	1
Fair value of non-controlling interest at date of acquisition			
(30 million X \$1.80 – Beta; 30 million X \$1.50 – Gamma)	54,000	45,000	1 + 1
Net assets at date of acquisition (W1/W2)	<u>(260,400)</u>	<u>(168,500)</u>	3½ (W1) + 2 (W2)
Goodwill	<u>28,100</u>	<u>50,500</u>	<u>9½</u>

The total goodwill is 78,600 (28,100 + 50,500).

Marks

Working 4 – Non-controlling interest

	Beta \$'000	Gamma \$'000	
Fair value at date of acquisition (W3)	54,000	45,000	$\frac{1}{2} + \frac{1}{2}$
20%/25% of post-acquisition increase in net assets (33,600 (W1)/6,100 (W2))	<u>6,720</u>	<u>1,525</u>	$\frac{1}{2} + \frac{1}{2}$
	<u>60,720</u>	<u>46,525</u>	<u>2</u>

The total NCI is 107,245 (60,720 + 46,525).

Working 5 – Adjustment for assets held for sale

Asset	Existing carrying amount (E) \$'000	Lower of E and fair value less costs to sell \$'000	Adjustment \$'000	
Property	12,000	12,000	Nil	$\frac{1}{2}$
Plant	<u>3,000</u>	<u>1,000</u>	<u>2,000</u>	$\frac{1}{2}$
	<u>15,000</u>	<u>13,000</u>	<u>2,000</u>	<u>1</u>
				⇒W6

Working 6 – Retained earnings

	\$'000	
Alpha	367,500	$\frac{1}{2}$
Adjustment for acquisition costs of Beta	(2,500)	$\frac{1}{2}$
Adjustment for disallowable provision (2,500 + 2,000)	4,500	$\frac{1}{2} + \frac{1}{2}$
Adjustment for held for sale asset (W5)	(2,000)	1 (W5)
Beta (80% X 27,600 (W1))	22,080	$\frac{1}{2} + 4$ (W1)
Gamma (75% X (4,500 (W2))	3,375	$\frac{1}{2} + 2$ (W2)
Unrealised profits on sales to Beta and Gamma (20% X (15,000 + 10,000))	(5,000)	1
Deferred tax on unrealised profits (20% X 5,000)	<u>1,000</u>	<u>1</u>
	<u>388,955</u>	<u>12</u>

Working 7 – Convertible loan

	\$'000	
Present value of interest payments (1,800 X 3.790)	6,822	$\frac{1}{2}$
Present value of principal repayment (30,000 X 0.621)	<u>18,630</u>	$\frac{1}{2}$
So loan element equals	25,452	
Equity component is the balancing figure	<u>4,548</u>	$\frac{1}{2}$
	<u>30,000</u>	<u>1\frac{1}{2}</u>
		⇒W8

Working 8 – Other components of equity

	\$'000	
Alpha	5,000	$\frac{1}{2}$
Premium on issue of shares to acquire Gamma (60 million X \$1.90)	114,000	1
Revaluation of 'other investments' of Alpha (33,000 – (267,000 – 237,000))	3,000	1
Equity element of convertible loan (W7)	4,548	$1\frac{1}{2}$ (W7)
Beta (80% X 6,000 (W1))	4,800	$\frac{1}{2}$
Gamma (75% X 1,600 (W2))	<u>1,200</u>	$\frac{1}{2}$
	<u>132,548</u>	<u>5</u>

Working 9 – Deferred tax on fair value adjustments – Beta

Fair value adjustments:

	1 April 2014 \$'000	31 March 2015 \$'000	
Property adjustment	30,000	27,500	$\frac{1}{2}$
Plant and equipment adjustment	<u>13,000</u>	<u>Nil</u>	$\frac{1}{2}$
Net taxable temporary differences	43,000	27,500	$\frac{1}{2}$
Related deferred tax (20%)	<u>8,600</u>	<u>5,500</u>	$\frac{1}{2}$
			<u>2</u>
			⇒W1

Working 10 – Deferred tax

	\$'000	
Alpha + Beta + Gamma	82,000	1/2
On fair value adjustments in Beta (W9)	5,500	1/2
On unrealised profits (W6)	(1,000)	1/2
	<u>86,500</u>	<u>1 1/2</u>

- 2 (a) Under the provisions of IFRS 9 – *Financial Instruments* – the option to acquire shares in Epsilon would be regarded as a derivative financial instrument. 1/2
- This is because the value of the option depends on the value of an underlying variable (Epsilon's share price), it requires a relatively small initial investment and it is settled at a future date. 1/2
- A derivative financial instrument is initially measured at its fair value. 1/2
- In this case fair value will be the price paid – which is \$250,000 at 1 April 2014. 1/2
- Derivative financial instruments are remeasured to fair value at the reporting date and gains or losses on remeasurement recognised in the statement of profit or loss. 1/2
- However, in this case the derivative is derecognised on 31 December 2014, when the option is exercised. 1/2
- On 31 December 2014, the investment in Epsilon's shares would be regarded as a financial asset. 1/2
- Under IFRS 9, financial assets are initially measured at fair value, so the initial carrying value of the shares in the books of Delta will be **\$2.6 million** (1 million X \$2.60). 1/2
- The difference between the carrying value of the new asset – \$2.6 million and the price paid plus the derecognised derivative – \$2.25 million (\$2 million + \$250,000) will be taken to **profit or loss** for the year ended 31 March 2015 as investment income. In this case **\$350,000** will be included as investment income. 1/2 + 1/2
- Because the investment in Epsilon is an equity investment, it will continue to be remeasured to fair value at each year end. 1
- Because the investment is part of a trading portfolio, the investment is measured at fair value through profit or loss. 1/2
- Therefore the acquisition costs of \$100,000 must be recognised as an expense in the statement of profit or loss for the year ended 31 March 2015. 1/2
- The investment is included in the statement of financial position at 31 March 2015 as a **current** asset at its fair value of **\$2.9 million**. 1/2 + 1/2
- The increase in fair value of **\$300,000** (\$2.9 million – \$2.6 million) is taken to **the statement of profit or loss**. 1/2 + 1/2
- 9
- (b) The lease-back of the property will be regarded as an operating lease because the lease is for only 25% (10/40) of the future life of the property. 1
- Therefore the property will be derecognised by Delta. 1/2
- The apparent loss on sale of \$2 million (\$48 million – \$50 million) will **not** be recognised immediately because Delta is being compensated by reduced rentals for the whole lease term. The amount will instead be regarded as a **pre-payment**. 1/2 + 1/2
- The total lease rentals over the whole term are \$12.5 million (5 X \$1 million + 5 X \$1.5 million). 1
- Rental expense of \$1.25 million (\$12.5 million X 1/10) will be recognised in profit or loss for the year ended 31 March 2015. 1/2
- A **proportion** of the apparent loss on sale will be recognised in **profit or loss** for the year ended 31 March 2015. 1/2 + 1/2
- The amount recognised will be \$160,000 – (\$2 million X {\$1 million/\$12.5 million}). 1
- The closing pre-payment will be \$1,590,000 (\$2 million – \$160,000 + \$1 million (rent paid) – \$1.25million (rent charged)). 1
- 7

		Marks
(c)	The information about the obsolescence of the components is an event after the reporting date because it occurs after the reporting date but before the financial statements are authorised for issue.	1
	This event would be a non-adjusting event because it does not give information about conditions existing at the reporting date.	1
	At the reporting date, the inventory should be measured at the lower of cost (\$10 million) and net realisable value (\$12 million).	1
	The after-date obsolescence of the inventory and its financial implications for Delta should be disclosed in a note to the financial statements.	1
		<u>4</u>
		<u>20</u>
3	(a) (i)	
	For equity-settled share-based payment arrangements, the transaction should be measured based on the fair value of the goods or services received, or to be received.	1/2
	Where the third party is an employee, 'fair value' should be based on the fair value of the equity instruments granted , measured at the grant date .	1/2 + 1/2
	For cash-settled share-based payment arrangements, the transaction should be measured based on the fair value of the liability at each reporting date.	1/2 + 1/2
	(ii)	
	The amount recognised should take account of all vesting conditions other than (in the case of equity-settled share-based payment arrangements) market conditions (which are reflected in the measurement of the fair value of the instruments granted).	1/2 + 1/2 + 1/2
	(iii)	
	For both types of arrangement, the debit entry will normally be to profit or loss unless the relevant expense would qualify for recognition as an asset.	1
	For an equity-settled share-based payment arrangement, the credit entry would be recognised in equity, either as share capital or (more commonly) as an option reserve.	1/2
	For cash-settled share-based payment arrangements, the credit entry would be recognised as a liability.	1/2
		<u>6</u>
	(b) (i)	
	The expected total cost of the arrangement at 31 March 2014 is 400 X \$1.50 X (500 – 10 – 20) = \$282,000.	1
	Therefore \$70,500 (\$282,000 X 1/4) would be credited to equity and debited to profit or loss for the year ended 31 March 2014.	1
	For the year ended 31 March 2015, the expected total cost of the originally granted options would be 400 X \$1.50 X (500 – 10 – 5 – 10) = \$285,000.	1
	The cumulative amount taken to profit or loss and recognised in equity at 31 March 2015 is \$142,500.	1
	The additional cost of the repriced options must also be recognised over the three -year period to 31 March 2017.	1/2 + 1/2
	The total additional cost is 400 X (\$1.45 – \$0.25) X 475 = \$228,000.	1
	Therefore the amount recognised in the year ended 31 March 2015 is \$76,000 (\$228,000 X 1/3).	
	Therefore the total recognised in equity at 31 March 2015 is \$218,500 (\$142,500 + \$76,000).	1
	The amount recognised in equity would be shown as 'other components of equity'.	1/2
	And the charge to profit or loss for the year ended 31 March 2015 is \$148,000 (\$142,500 + \$76,000 – \$70,500).	1
	The amount recognised in profit or loss would be shown as an employment expense.	1/2
		<u>9</u>

	Marks
(ii) For the year ended 31 March 2014, the expected total cost will be $50 \times 1,000 \times \$0.90 = \$45,000$.	1
The amount taken to profit or loss in the prior period, and recognised as a liability, will be \$15,000 ($\$45,000 \times 1/3$).	1
At 31 March 2015, the liability will be $50 \times 2,000 \times \$1.20 \times 2/3 = \$80,000$.	1
Since the rights are exercisable on 30 June 2016, the liability will be non-current.	1
The charge to profit or loss for the year ended 31 March 2015 will be \$65,000 ($\$80,000 - \$15,000$). This will be included in employment expenses.	1
	<u>5</u>
	<u>20</u>
4 (a) It is not true that, given the existence of IAS 41 – <i>Agriculture</i> – other IFRSs do not apply to farming companies. The general presentation requirements of IAS 1 – <i>Presentation of Financial Statements</i> , together with the specific recognition and measurement requirements of other IFRSs, apply to farming companies just as much as others.	1
IAS 41 deals with agricultural activity . Two key definitions given in IAS 41 are biological assets and agricultural produce .	$\frac{1}{2} + \frac{1}{2} + \frac{1}{2}$
A biological asset is a living animal or plant. Examples of biological assets would be sheep and fruit trees.	1
The criteria for the recognition of biological assets are basically consistent with other IFRSs, and are based around the Framework definition of an asset.	1
A key issue dealt with in IAS 41 is that of measurement of biological assets. Given their nature (e.g. lambs born to sheep which are existing assets, the use of cost as a measurement basis is impracticable.	$\frac{1}{2} + \frac{1}{2}$
The IAS 41 requirement for biological assets is to measure them at fair value less costs to sell .	$\frac{1}{2} + \frac{1}{2}$
Changes in fair value less costs to sell from one period to another are recognised in profit or loss.	$\frac{1}{2}$
Agricultural produce is the harvested produce of a biological asset. Examples would be wool (from sheep) or fruit (from fruit trees).	1
The issue of measuring 'cost' of such assets is similar to that for biological assets. IAS 41 therefore requires that 'cost' should be fair value less costs to sell at the point of harvesting. This figure is then the deemed 'cost' for the purposes of IAS 2 – <i>Inventories</i> .	$\frac{1}{2} + \frac{1}{2} + \frac{1}{2}$
A consequence of the above treatment is that government grants receivable in respect of biological assets are not treated in the way prescribed by IAS 20 – <i>Government Grants</i> . Where such a grant is unconditional , it should be recognised in profit or loss when it becomes receivable. If conditions attach to the grant, it should be recognised in profit or loss only when the conditions have been met.	$\frac{1}{2} + \frac{1}{2} + \frac{1}{2}$
The IAS 20 treatment of grants is to recognise them in profit or loss as the expenditure to which they relate is recognised. This means that recognition of grants relating to property, plant and equipment takes place over the life of the asset rather than when the relevant conditions are satisfied.	1
	<u>12</u>
(b) The International Accounting Standards Board has developed an IFRS for small and medium sized entities (SMEs) which can be used as an alternative to full IFRS.	$\frac{1}{2} + \frac{1}{2}$
Despite the title of the IFRS for SMEs it is not available for all small and medium sized entities. The standard can only be used by entities which are not publicly accountable . Therefore the standard could not be used by your colleague as the entity is listed .	$\frac{1}{2} + \frac{1}{2} + \frac{1}{2}$
The IFRS for SMEs is one single standard which, if adopted, is used instead of all IFRS .	$\frac{1}{2} + \frac{1}{2}$
The IFRS for SMEs omits completely the requirements of IFRS which are specifically relevant to listed entities, for example , earnings per share and segmental reporting.	$\frac{1}{2} + \frac{1}{2}$
In addition, the subject matter included in the IFRS for SMEs has been simplified compared with full IFRS. For example , research and development costs are always expensed and non-current assets are never revalued.	$\frac{1}{2} + \frac{1}{2} + \frac{1}{2}$
In general terms, the disclosures required by the IFRS for SMEs are considerably less burdensome than for full IFRS.	1
A further benefit is that the IFRS for SMEs is only updated once every three years, thus reducing the extent of change to financial reporting practice.	1
	<u>8</u>
	<u>20</u>